

ECON 0100 | Exercise C4 | Corrective Taxes

Smoked toffee again, with the same curves and 10 Galleon smoke cost as Q2 of Exercise C3:

$$D : P_b = 100 - Q_d \qquad S : P_s = 10 + Q_s$$

Q1 | Policy Proposal

What type and size of policy would you propose to eliminate the DWL you identified in Q2 of Exercise C3?

Policy Type: _____ Policy Size: _____

Buyer Price: _____ Seller Price: _____ Post-Policy Quantity: _____

Q2 | Deadweight Loss Intuition

If the marginal cost of a gallon of gas is \$4.00, the negative externality is \$1.00, and the marginal benefit is \$4.50, what is the deadweight loss?

Deadweight Loss: _____